



IF YOU HAVE travelled in a cab in the past 12 months, chances are that at some point, one of the drivers may have tried renegotiating the fare as well as demanded extra money for switching on the air conditioner. And if you have a school-going kid,

consumer's relationship with the commodity can be summed up in two words: It's complicated.

In light of these distress signals, the government's approval of the Kirit Shantilal Parikh-led panel's recommendations on gas pricing, as well as the roll-out of a unified tariff for transmission infrastructure announced within days of each other, may have come at just the right time. The rise in prices of compressed natural gas (CNG) and piped natural gas (PNG) in India had not only impacted a large consumer base, but could have also derailed the government's

on a formula suggested by a six-member panelled by former RBI Governor C. Rangarajan, in December 2012. APM gas is sourced from domestic onshore gas fields allotted to public sector exploration and production (E&P) companies Oil and Natural Gas Corp. (ONGC) and Oil India Ltd (OIL) before 1999, and its price is determined by the Petroleum Planning & Analysis Cell (PPAC), of the Ministry of Petroleum and Natural Gas. NAPM gas is not subsidised and comes from onshore and offshore domestic gas fields as well as from overseas, as liquefied natural gas (LNG).

DECODING THE REFORMS



APM prices are to be 10 per cent of the Indian Crude Basket Price as defined by PPAC; done on a monthly basis on the last day of the month



Gas produced by ONGC and OIL from legacy fields will be subject to floor and ceiling prices of \$4/MMBtu and \$6.5/MMBtu, respectively; to be maintained till FY25 and then increased by \$0.25/MMBtu each year



Gas produced from new wells or well interventions in legacy fields of ONGC and OIL will have a premium of 20 per cent above APM prices; this gas will be allocated separately from APM gas for five years



PPAC to prepare and maintain a portal for monitoring CNG and PNG consumer prices on a real-time basis, with inputs received from CGD entities

SOURCE MINISTRY OF PETROLEUM AND NATURAL GAS

chances are that you are paying at least 20 per cent more than last year for her school transport. If you are in-charge of the household budget, you've most likely complained about rising fruit and vegetable prices and north-bound costs of piped cooking gas. Lastly, if you are an entrepreneur with an interest in fertilisers or power, you would have seen your fuel bills balloon. All this point to the fact that people were greatly peeved due to a nearly 80 per cent spike in natural gas prices. The world's third-largest hydrocarbon

plans to increase the share of gas in the country's energy mix to 15 per cent by 2030 (from 6.5 per cent now), in pursuit of its carbon emission goals. But why did the prices rise? They shot up due to slow restoration in supplies of domestically produced gas post-Covid-19, on top of a flawed pricing mechanism and geopolitics.

Before the recently announced reforms, India followed a somewhat complex gas pricing mechanism comprising both an administered price mechanism (APM) and a non-APM (or NAPM) one. This was based

The growth in demand for CNG due to rising petrol and diesel prices and massive expansion in city gas distribution (CGD) infrastructure following bidding rounds 9, 10 and 11 conducted by the Petroleum and Natural Gas Regulatory Board (PNGRB) culminated in a huge shortfall of gas. Under the old mechanism, prices were revised every six months based on a formula linked to international gas trading hubs, whose price discovery mechanism had little to no bearing on India. "The price that was being set for APM gas was based on